DIPLOMA PROGRAMME PRACTICE / SL / SET A

Economics / Paper 1

Worked mark scheme · 75 minutes · 25 marks

Choose one of the three questions and answer both parts. No calculator is permitted. Use real-world examples in part (b) and fully labelled diagrams where relevant. Write on separate answer paper.

Judge extended responses as a whole using the markband for that part. Award valid alternative analysis and diagrams. In linked calculations, credit correct use of an earlier result. The suggested judgements are examples.

HOW TO MARK THIS PAPER

Use the 10-mark scale for each explanation and the 15-mark scale for the evaluation. Only the two parts of the selected essay contribute to the score.

10-MARK SCALE

0: no relevant economics. 1–2: isolated relevant ideas. 3–4: partial explanation with limited links. 5–6: a broadly correct mechanism, with gaps in development or representation. 7–8: developed analysis using appropriate terms and an effective diagram or other representation where relevant. 9–10: consistently precise, fully connected reasoning directed at this question, with the representation interpreted. Accept equivalent valid analysis.

15-MARK SCALE

0: no relevant economics. 1–3: assertions or isolated concepts. 4–6: some relevant explanation, limited application. 7–9: coherent analysis with some application and consideration of consequences. 10–12: developed, applied analysis weighing competing considerations with a supported view. 13–15: precise theory and relevant diagrams where useful, evidence integrated throughout, and a balanced judgement that explains conditions or relative importance. Other defensible conclusions can receive full credit.

QUESTIONS IN THIS SCHEME

1 Road space at the morning peak [25]

2 Inflation after an energy shock [25]

3 Diversifying exports [25]

QUESTION 1 / 25 MARKS

Road space at the morning peak

Background reading. Transport for London, Congestion Charging: Third Annual Monitoring Report

PART a / 10 MARKS

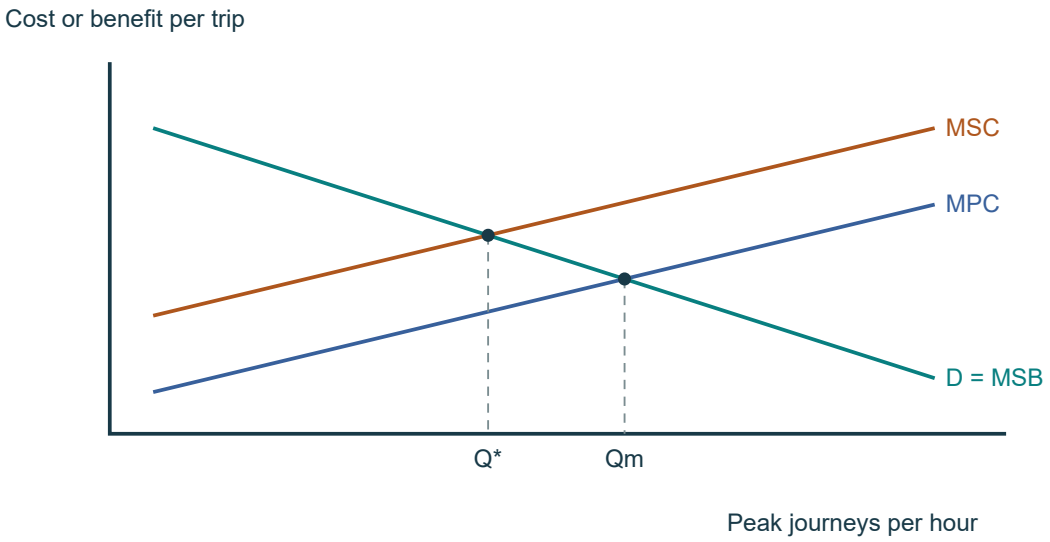
Explain why an unpriced congested road may carry more journeys than the socially efficient number, even if every driver is willing to pay the private cost of the trip.

Analysis. A driver considers fuel, time and other costs of their own trip. An extra vehicle also slows other users. Those minutes lost to others are a marginal external cost. At the private equilibrium the marginal private benefit equals marginal private cost. Journeys beyond the social optimum have benefits below their full marginal cost.

Diagram. Put journeys per peak hour on the horizontal axis and cost or benefit per trip on the vertical axis. Draw downward demand (MPB = MSB). Draw MSC above MPC at the relevant volumes. Label Qm where demand meets MPC and Q* where it meets MSC. Identify the welfare loss between demand and MSC from Q* to Qm.

Apply the 10-mark scale on the first page to this response as a whole.

WORKED REPRESENTATION / a



PART b / 15 MARKS

Using real-world examples, evaluate whether charging for road use is preferable to subsidising public transport as a way of reducing urban congestion.

Application. London introduced its central congestion charge in 2003. A fee raises the private cost of driving in the zone and can switch marginal trips to other modes or times. A charge that varies with the congestion caused can reduce the gap between private and social cost. A flat daily charge creates a weaker incentive against an extra journey after payment.

Evaluation. A bus subsidy lowers fares and increases ridership. Congestion falls only to the extent that passengers switch from cars. If most new riders previously walked, cheaper fares achieve little road relief. Where buses are full, frequency and reliability may matter more than the fare. Drivers on low incomes without alternatives can bear a large share of a charge.

Judgement. Favour peak pricing where diversion routes and traffic can be monitored and substitutes exist. Use revenue to improve links for poorly served areas. In a city with weak transit, increasing capacity first may deliver a more equitable and politically sustainable switch. Credit a different ranking supported by evidence and an explicit criterion.

Apply the 15-mark scale on the first page to this response as a whole.

QUESTION 2 / 25 MARKS

Inflation after an energy shock

Background reading. Bank of England, Monetary Policy Summary, August 2023

PART a / 10 MARKS

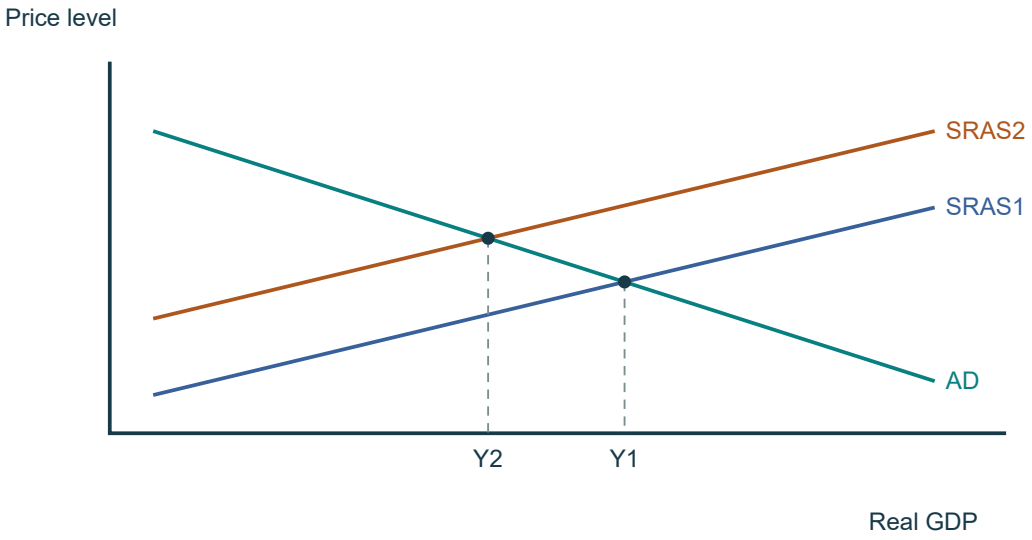
Explain how a rise in imported energy costs can raise the general price level while reducing real output in an energy-importing economy.

Analysis. Energy is an intermediate input. Higher domestic-currency energy costs reduce the output firms can profitably supply at each price level. With aggregate demand initially unchanged, short-run aggregate supply moves left. The new equilibrium has a higher price level and lower real GDP. The initial jump in prices need not produce continually accelerating inflation.

Diagram. Label real GDP horizontally and the general price level vertically. Move SRAS left against a downward AD curve, marking both intersections, P1 < P2 and Y2 < Y1. Explain why a contraction in demand alone would give the wrong price prediction.

Apply the 10-mark scale on the first page to this response as a whole.

WORKED REPRESENTATION / a



PART b / 15 MARKS

Using real-world examples, evaluate a central bank's decision to raise interest rates when an economy faces both cost-push inflation and slowing output.

Application. The Bank of England raised Bank Rate to 5.25% in August 2023, after an energy-price shock and amid concern about persistent domestic inflation. Higher borrowing costs curb interest-sensitive consumption and investment. Weaker aggregate demand can limit second-round wage and price effects even though it does not supply more energy.

Evaluation. Borrowers with floating rates feel the squeeze early. Fixed-rate contracts delay transmission, while some savers gain income. If supply recovers quickly and expectations remain anchored, a large rise risks a deeper output loss just as inflation falls. Persistent expectations and a tight labour market strengthen the case for restraint.

Judgement. Assess the likely persistence of inflation against the spare capacity the policy would create. A measured increase with reassessment can be defensible; energy efficiency investment can relieve the underlying constraint over a longer horizon. A different decision earns credit if timing and transmission are explained.

Apply the 15-mark scale on the first page to this response as a whole.

QUESTION 3 / 25 MARKS

Diversifying exports

Background reading. IMF, Fiscal Considerations in Managing Stabilization Funds in Chile (2023)

PART a / 10 MARKS

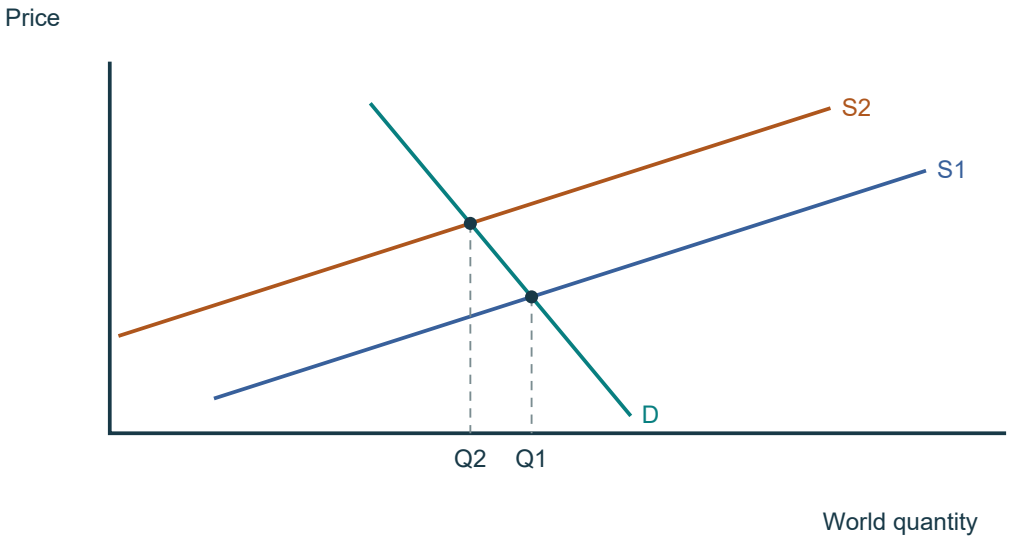
Explain why changes in world supply can cause large fluctuations in a primary commodity producer's export earnings when world demand is price inelastic.

Analysis. With few short-run substitutes or a small budget share, a price change can generate a smaller proportional change in quantity demanded. A broadly shared harvest failure shifts world supply left; price rises proportionately more than quantity falls. World sales revenue can increase. For one exporter its own volume also matters: a devastated producer may still lose earnings.

Diagram. Use price and world traded quantity axes. Draw relatively steep demand over the range considered and shift supply left. Mark two equilibria and compare P × Q rectangles. A steep-looking line alone does not prove elasticity without a percentage comparison.

Apply the 10-mark scale on the first page to this response as a whole.

WORKED REPRESENTATION / a



PART b / 15 MARKS

Using real-world examples, evaluate whether export diversification is the most effective way to make development less vulnerable to external shocks.

Application. Chile's reliance on copper exposes export receipts and government revenue to world prices. Adding exports whose prices move differently can smooth foreign earnings and protect spending on education and health. A fiscal buffer offers a different way to sustain public spending when copper revenue falls.

Evaluation. Diversification requires skills, credit and market access. Expensive support for an uncompetitive sector can divert funds from health. Adding a second mineral linked to the same global cycle brings little protection. A stabilization fund smooths a temporary shock but cannot replace income indefinitely after a permanent fall.

Judgement. A buffer is quicker when a temporary price fall arrives; investment in transferable skills and infrastructure makes diversification more credible over time. Judge success using stability of living standards as well as the number of exported products.

Apply the 15-mark scale on the first page to this response as a whole.